T-12 OPERATING STATEMENT

Summit Health Center | Detroit, MI

Property	Summit Health Center
Period Ending	April 11, 2023
Basis	Accrual - Trailing 12 Months
Prepared By	Redwood Property Management
Size	216,999 SF

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	638,797	643,546	684,566	672,831	724,061	706,753	636,801	635,791	647,507	725,442	639,281	722,330	8,077,706
4010 Loss to Lease	341,198	355,637	324,045	324,374	321,570	342,371	327,930	340,286	336,325	355,665	318,259	345,781	4,033,441
4020 Vacancy Loss	171,913	196,088	193,729	191,929	194,592	186,465	185,407	177,319	176,371	183,918	186,883	197,001	2,241,613
4030 Concessions	397,322	404,351	422,931	404,075	434,041	446,538	399,273	396,171	400,416	408,764	426,961	449,631	4,990,473
4040 Bad Debt	57,946	61,873	60,698	57,670	59,619	54,520	60,892	58,021	55,293	60,977	61,485	55,747	704,740
4050 Late Fees	210,500	223,108	199,927	213,797	215,602	217,360	216,979	225,304	206,545	213,546	204,893	210,410	2,557,970
4060 Utility Reimbursements	488,310	489,284	537,954	542,917	528,356	504,497	487,790	536,162	530,123	500,211	523,269	512,981	6,181,854
4070 Parking Income	123,163	119,310	128,131	128,446	118,304	124,800	129,879	121,735	133,281	127,180	117,876	122,917	1,495,023
4080 Application Fees	240,972	247,659	247,410	247,028	259,954	240,096	256,184	243,861	259,145	265,204	236,988	247,991	2,992,492
4090 Pet Rent	494,908	517,196	529,188	534,912	520,653	510,247	478,556	473,095	496,657	496,157	532,481	520,623	6,104,673
4100 Laundry Income	60,325	63,928	62,926	67,609	61,667	60,431	66,819	67,106	61,123	61,335	61,621	61,116	756,007
4110 Cable/Internet Revenue	226,974	241,347	224,061	243,100	219,940	231,034	234,611	243,930	232,034	218,499	238,095	238,471	2,792,097
4120 CAM Reimbursements	509,879	518,156	494,443	501,234	513,615	472,192	510,440	514,837	513,508	461,613	470,231	504,703	5,984,853
4130 Tax Reimbursements	184,042	174,326	184,281	197,267	198,582	192,923	180,829	176,734	193,878	196,644	185,306	198,514	2,263,327
4140 Insurance Reimbursemen	37,373	39,262	37,650	41,469	38,969	36,525	37,493	36,531	39,388	41,078	37,445	37,736	460,921
4150 Percentage Rent	254,681	247,392	245,069	256,954	250,723	234,887	250,426	258,115	249,295	251,708	234,002	238,306	2,971,559
4160 Misc. Income	239,458	235,642	217,417	243,957	222,353	223,005	243,876	224,967	226,598	217,103	215,279	225,160	2,734,815
4170 Payroll - Management	34,977	39,786	37,297	39,677	34,961	38,480	40,135	36,548	35,969	39,627	38,109	39,004	454,571
4180 Payroll - Leasing	20,509	20,337	22,858	21,574	21,573	20,577	21,937	20,769	20,329	21,264	22,077	21,381	255,186
4190 Payroll - Maintenance	53,527	55,537	56,146	59,647	55,466	60,073	55,461	55,492	53,274	57,302	58,737	58,522	679,184
4200 Payroll Taxes & Benefits	38,567	37,478	38,644	37,390	37,557	38,963	40,514	39,513	36,963	39,719	35,783	35,718	456,809
4210 Repairs - Plumbing	52,960	50,829	48,984	47,593	50,720	47,451	49,669	51,662	46,972	48,282	51,329	52,783	599,234
4220 Repairs - HVAC	49,234	48,368	44,634	48,009	45,581	47,613	48,081	49,009	47,306	46,264	45,643	46,601	566,344
4230 Repairs - Electrical	46,064	42,453	43,446	42,455	47,278	43,966	42,355	44,620	45,795	47,703	43,958	43,531	533,624
4240 Repairs - Appliances	62,932	57,526	58,653	63,010	59,775	56,159	58,299	57,580	57,159	60,018	56,635	60,641	708,389
4250 Painting & Decorating	11,534	10,625	11,470	11,147	10,856	10,235	10,576	11,448	11,077	10,402	11,647	11,453	132,470
4260 Flooring	73,886	77,555	69,268	69,235	69,536	71,493	76,462	68,986	76,928	70,332	71,190	73,999	868,870

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4460 Management Fee	67,330	62,532	71,130	62,706	65,903	65,976	68,576	70,259	70,124	64,409	66,519	66,747	802,210
4470 Property Insurance	62,408	63,593	62,067	68,731	64,857	68,097	61,905	60,336	68,062	59,913	65,949	63,556	769,475
4480 Real Estate Taxes	67,357	61,926	59,550	61,219	66,345	61,905	59,940	63,445	61,942	66,497	62,941	62,141	755,209
4490 Asset Management Fee	83,813	75,430	78,834	77,294	78,240	75,056	77,725	76,300	75,936	74,720	83,076	79,442	935,866
4500 Replacement Reserves	45,728	44,346	47,051	47,114	44,860	45,281	49,131	49,113	48,792	45,643	46,302	45,228	558,590
4510 Roof Repairs	13,304	13,225	12,369	12,051	12,175	13,218	12,634	12,536	13,726	12,976	12,559	13,698	154,472
4520 Parking Lot Repairs	67,109	74,288	72,730	70,706	72,694	66,912	72,650	73,217	69,212	68,172	66,911	69,401	844,003
4530 Signage	61,252	61,361	64,173	62,208	60,628	62,857	66,570	59,729	64,812	61,847	64,793	66,204	756,433
4540 Tenant Improvements	58,567	53,704	55,745	52,684	55,558	57,835	57,971	52,050	51,653	53,551	54,099	56,796	660,214
4550 Leasing Commissions	70,991	79,851	71,377	80,485	77,730	79,398	78,898	80,309	75,916	75,314	71,624	78,543	920,437
4000 Gross Potential Rent	704,978	655,109	705,139	721,532	699,684	675,715	669,016	677,896	644,716	665,878	669,384	632,858	8,121,905
4010 Loss to Lease	314,421	298,511	290,273	285,431	304,771	282,504	321,435	306,811	287,557	305,976	311,157	313,595	3,622,444
4020 Vacancy Loss	342,751	384,217	383,414	382,979	378,770	382,216	356,162	370,990	352,545	344,231	392,949	362,104	4,433,328
4030 Concessions	615,881	634,888	606,827	641,372	632,146	638,339	618,008	608,647	577,848	593,557	632,910	600,111	7,400,535
4040 Bad Debt	283,220	276,308	256,763	272,023	266,344	269,325	263,843	262,297	271,571	271,929	256,109	264,571	3,214,303
4050 Late Fees	229,803	240,045	230,649	232,792	237,111	242,896	253,679	238,175	249,079	253,817	246,194	241,016	2,895,255
4060 Utility Reimbursements	585,801	560,245	573,066	592,061	554,372	587,836	611,574	561,887	607,033	595,879	556,877	595,077	6,981,708
4070 Parking Income	388,701	403,461	408,446	418,065	429,342	413,538	390,439	397,215	394,519	382,505	431,103	425,852	4,883,185
4080 Application Fees	389,489	356,770	388,629	362,318	380,191	378,944	357,161	362,481	393,619	368,049	397,490	356,095	4,491,237
4090 Pet Rent	243,712	244,881	230,817	232,058	251,252	240,482	242,943	229,028	249,756	230,911	230,833	236,417	2,863,091
4100 Laundry Income	508,408	551,938	494,348	514,598	495,879	493,680	540,013	552,392	494,884	540,944	525,559	544,942	6,257,584
4110 Cable/Internet Revenue	396,458	379,992	359,914	369,811	363,283	365,651	381,745	365,418	357,505	390,861	380,918	388,216	4,499,772
4120 CAM Reimbursements	67,815	63,382	69,054	61,549	67,761	64,249	64,444	62,455	65,181	66,070	62,284	66,172	780,417
4130 Tax Reimbursements	491,751	492,667	531,944	504,371	534,534	507,017	551,832	551,568	493,127	497,036	534,091	515,094	6,205,031
4140 Insurance Reimbursemen	495,486	530,190	479,737	487,864	513,812	513,954	493,063	482,538	487,117	524,282	517,943	482,684	6,008,671
4150 Percentage Rent	415,899	446,592	429,305	400,815	432,179	421,465	393,762	421,514	391,315	430,205	444,181	404,600	5,031,833
4160 Misc. Income	327,664	336,928	342,237	326,803	314,147	315,664	310,248	325,810	318,872	333,261	320,460	312,464	3,884,556
4170 Payroll - Management	22,971	24,581	24,892	23,039	24,594	22,418	22,080	25,270	25,067	25,145	25,369	22,782	288,207
4180 Payroll - Leasing	30,285	30,214	30,569	28,784	29,406	30,208	29,636	29,101	30,505	30,742	31,750	28,059	359,260
4190 Payroll - Maintenance	52,259	55,744	55,997	55,019	51,913	54,918	51,743	54,070	56,948	49,831	53,668	56,688	648,799
4200 Payroll Taxes & Benefits	50,583	54,604	53,439	51,878	51,340	49,857	54,820	55,663	51,848	51,224	56,292	56,821	638,369
4210 Repairs - Plumbing	38,362	40,241	41,966	38,177	43,000	40,731	39,144	39,008	39,921	42,915	39,275	40,123	482,862
4220 Repairs - HVAC	39,944	37,424	40,360	41,324	42,644	41,884	41,502	39,540	37,939	39,693	39,331	41,324	482,909
4230 Repairs - Electrical	51,755	47,205	46,162	45,614	51,200	48,525	45,836	45,708	49,347	45,293	46,260	47,244	570,150
4240 Repairs - Appliances	63,619	64,490	65,436	65,699	66,653	60,507	67,348	66,633	61,220	63,133	62,533	61,774	769,047
4250 Painting & Decorating	46,928	44,601	50,989	45,156	44,968	46,846	48,388	45,475	47,951	49,097	48,349	45,256	564,004
4260 Flooring	62,988	67,852	65,838	64,876	69,564	67,945	64,161	67,837	65,842	67,924	70,519	68,275	803,622
4270 Make-Ready / Turnover	53,244	54,779	52,094	51,202	54,995	57,583	56,176	54,743	50,712	52,458	51,021	56,160	645,167
4280 Landscaping Contract	80,201	76,453	72,217	82,284	72,884	75,435	76,395	78,134	81,879	73,453	72,850	74,572	916,757
4290 Snow Removal	39,120	42,634	40,185	43,685	40,156	39,504	39,974	39,344	41,954	39,099	39,872	40,283	485,809
4300 Janitorial	30,306	29,364	31,810	31,020	29,966	29,386	28,144	31,359	28,200	28,911	31,580	28,539	358,584
4310 Pest Control	67,321	68,712	68,506	70,154	69,841	65,230	73,434	73,615	66,992	73,729	72,361	70,462	840,358
4320 Trash Removal	77,003	81,838	75,128	78,859	74,752	73,977	74,427	79,363	82,255	83,281	80,476	78,943	940,300
4330 Elevator Contract	39,369	38,284	38,603	37,033	39,913	35,601	35,489	36,625	35,765	37,763	38,481	38,072	450,999
4340 Fire & Life Safety	28,886	28,926	26,909	27,791	25,649	27,878	26,593	29,431	25,766	28,722	29,255	25,659	331,465
4350 Security	6,895	6,447	6,854	6,628	6,529	7,013	6,723	6,705	6,898	6,763	6,793	6,781	81,030

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Valuation Discussion

Debt service coverage ratio was 6.68x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $239,000 or approximately 14.36 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $241,000, representing a 7.9% increase over the prior year. Management fees are calculated at 6.4% of collected revenue and are included in operating expenses.

Debt service coverage ratio was 7.45x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. Operating expenses totaled $167,000 or approximately 43.96 per square foot, with real estate taxes representing the largest line item. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Management Commentary

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 3 spaces per 1,000 square feet. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Collections for the period were 92.1% of billed charges, with bad debt of 3.6% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 26 additional team members.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 37th business day. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 7 additional team members.

Financial Analysis

Patient parking and ADA-compliant access are provided at a ratio of 37 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The going-in capitalization rate of 6.02% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period.

Management Commentary

Collections for the period were 95.7% of billed charges, with bad debt of 6.3% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 46 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Service requests are tracked through a work-order system with an average completion time of 20 hours. Patient parking and ADA-compliant access are provided at a ratio of 28 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. Collections for the period were 96.6% of billed charges, with bad debt of 3.5% of gross potential income. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The manager completes a monthly walk of the property and submits a variance report to the owner by the 46th business day.

Income and Expense Review

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The going-in capitalization rate of 5.33% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses.

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Summary and Notes

Financial Analysis

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. Debt service coverage ratio was 7.95x on a trailing basis against a covenant minimum of 1.20x. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 9 spaces per 1,000 square feet. The going-in capitalization rate of 8.19% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.67x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $376,000, representing a 9.5% increase over the prior year.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 89.8% of billed charges, with bad debt of 5.3% of gross potential income. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 24 additional team members. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 45 hours. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. Patient parking and ADA-compliant access are provided at a ratio of 3 spaces per 1,000 square feet.

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